

UNITED KINGDOM 2015

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1. Overview of the tax-benefit system

Within the United Kingdom, Jobseeker's Allowance is currently the main benefit for those out of work. Jobseeker's Allowance is made up of two parts, a contributory benefit based on insurance contribution payment and an income-based part which is not based on insurance payment. Employment and Support Allowance is awarded on the grounds of incapacity. There is also Income Support, a general means-tested benefit for those with low income who are unable to work. In addition there are a number of specific means-tested benefits: Housing Benefit, the Working Tax Credit and Child Tax Credit (CTC). Council Tax support (a help towards local property-based tax) is administered by local authorities. There is also a universal Child Benefit for people with children. The direct tax system consists of a central government income tax and a council tax.

In the 2016 model, eligibility for Universal Credit, which is replacing most means-tested benefits for working-age households, is not yet assumed or modelled. Universal Credit supports people who are on a low income or out of work and is replacing the following income-related benefits: Income-based Jobseeker's Allowance, Income-related Employment and Support Allowance, Income Support, Working Tax Credit, Child Tax Credit, Housing Benefit.

Universal Credit is rolling out gradually, safely and securely, in order to ensure a successful implementation. In May 2016 the Department for Work and Pensions started expansion of Universal Credit to a wider range of claimants, which had only been available to single unemployed claimants previously. In July 2017 we are increasing roll out to around 30 jobcentres per month. After a pause in August 2017 and September 2017, the transition will

scale up to more than 50 jobcentres a month. The intention is that all cases are migrated, and a full service is available nationally, by March 2022. A link to further information is available here: <https://www.gov.uk/government/publications/universal-credit-at-work-december-2015>.

A cap on the amount of benefit that could be paid was introduced from April 2013. Benefits affected by the cap can be found here: <https://www.gov.uk/benefit-cap/benefits-included-in-the-cap>. The benefit cap restricts the amount that claimants may receive in benefits. The original cap was set at £26,000 per annum for couples and people with children and £18,200 for single people in Great Britain. In November 2016, a lowered tiered cap was introduced to better reflect the circumstances of households. The new Benefit Cap rates are: £20,000 per annum (couples and families with children) and £13,400 per annum (single people), and separate Greater London rates of £23,000 per annum (couples and families with children) and £15,410 per annum (single people). Certain groups are excluded from the benefit cap – including those claiming disability benefits or working sufficient hours to be entitled to Working Tax Credit or who earn more than £520 per month in Universal Credit.

1.1. *Average Worker wage (AW)*

In 2016, the Average Worker is estimated to earn GBP 36 571 (Secretariat estimate).

2. Unemployment insurance

Overview of the unemployment insurance scheme (see Chapter 2 for more details):

Program name (local name)		Jobseeker's Allowance (contribution-based)
Insurance is voluntary(V) or compulsory(C) for employees		C
Employment record (E) and contribution (C) conditions		C: 12 months in 24
Waiting period (days)		7
Maximum duration (months)		6
Up-rating mechanism of the benefit		The rate of JSA (contribution-based) has been frozen for four years from 2016/17 under the Welfare Reform and Work Act 2016.
Calculation of unemployment insurance benefit:	initial benefit as % of calculation base	weekly flat rate of GBP 73.10
	benefit at the end of legal entitlement period in % of calculation base	weekly flat rate of GBP 73.10
	Calculation base	--
	Permitted employment and disregards when receiving unemployment insurance benefit	Working less than 16 hours a week: GBP 5 disregard per week, earnings above reduce benefit by the same amount; Working more: full withdrawal of benefit
Benefit provision (eligibility (E), generosity (G)) varies with	Age	G: - for 16 to 24 year olds
	family situation	via tax credit system
	contract type	n.a.
	Other	n.a.

Overview of employment-conditional benefits within the unemployment insurance scheme (see Section 2.2 2 for more details):

Program name (local name)		Jobseeker's Allowance (contribution-based) means test
Type of employment-conditional benefit		Lower benefit withdrawal rate
Beneficiaries of employment-conditional benefit		Jobseeker's Allowance recipient (contribution-based)
Eligibility and calculation criteria	Time dependency of employment-conditional benefit	No
	Child-based condition	No
	Influence of number of children on benefit amount	No
	Working hour criterion	No
	Transition criterion	No
	Minimum earnings criterion for eligibility	No
Up-rating mechanism of the benefit		The rate of JSA (contribution-based) has been frozen for four years from 2016/17 under the Welfare Reform and Work Act 2016.
Benefit calculation(1)	Income assessment unit	Net
	(Maximum) benefit amount	Working less than 16 hours a week: GBP 5 disregard per week, earnings above reduce benefit by the same amount; Working more: full withdrawal of benefit
	Phase-in rate	--
	Phase-out rate	--

2.1 *Conditions for receipt*

Jobseeker's Allowance (JSA) can be paid to claimants who are unemployed and looking for full-time work. JSA is available for men and women aged 18 or older but below State Pension Age. There are some exceptions for individuals aged 16 and 17. They must have entered into a Jobseeker's Agreement and must be capable of, available for and actively seeking work as an employee or as self-employed. For more information please see:

<https://www.gov.uk/jobseekers-allowance/eligibility>

There are two main types of JSA. JSA (contribution-based) is paid to those who satisfy the national insurance contribution conditions. JSA (income-based) is paid to those whose, including their partner's, income and capital is below a certain amount (section 3).

To qualify for JSA, jobseekers must be available for work – for most people available is taken as meaning that they must be willing and able to take up work immediately. There are some exceptions to the requirement to be able to take up work immediately e.g. carers, volunteers and persons providing a service.

In some situations jobseekers can restrict their availability. However, they must have reasonable prospects of getting work unless the restrictions are reasonable in view of their physical or mental condition, or if they are a Lone Parent who restricted their availability to that of their child's normal school hours.

Jobseekers must also be actively seeking work. To be actively seeking work jobseekers must take, in each benefit week, such steps as they can reasonably be expected to take in order to have the best prospects of securing employment.

Employment related sanctions

A jobseeker's JSA may be sanctioned if they:

- lose a job because of misconduct; or
- leave a job voluntarily without good reason; or
- refuse to accept or fail to keep to their 'claimant commitment'; or
- fail to apply for or accept a job without good reason; or
- neglect to avail themselves of a job without good reason; or
- fail to attend an interview.

Training scheme and employment programme-related sanctions

If attendance on a training scheme or employment programme is compulsory, jobseekers can be sanctioned if they:

- lose their place because of misconduct; or
- give up or fail to attend the scheme or programme without good reason; or
- are notified of a place on a scheme or programme and fail to apply for or accept it when offered to them without good reason; or
- fail to participate or undertake any activity mandated by the scheme provider; or
- neglect to avail themselves of a reasonable opportunity of a place without good reason.

If JSA is sanctioned:

- the length of time for which it is sanctioned is fixed up to a maximum of 156 weeks (approximately 3 years) depending on the reason for the sanction and the

number of previous sanctions of the same level. During the sanction period JSA is not paid;

- special rules apply for 16 or 17 year olds;
- if a jobseeker disagrees that they should be sanctioned, or with the sanction period, they can challenge the decision;
- jobseekers may be able to get hardship payments.

2.1.1 *Employment conditions*

Recipients of JSA (contribution-based) must be out of work or working for fewer than 16 hours a week.

2.1.2 *Contribution conditions*

JSA (contribution-based) is a personal benefit paid to unemployed people who have paid or been credited with sufficient National Insurance contributions in the last two full tax years before the benefit year in which they make their JSA claim.

“Sufficient” is determined on the basis of satisfaction of two contribution conditions:

- the first condition requires the person to have paid Class 1 (employee) National Insurance contributions (or, in some exceptional circumstances, Class 2 {self-employed} contributions, or a combination of Class 1 and 2 contributions) in at least one of the 2 tax years on which the claim is based (“the relevant income tax years”) amounting to at least 26 times the minimum weekly contribution for that year. [Earnings above the minimum are disregarded, effectively meaning that the person will have to have been employed (or, exceptionally, self-employed) for at least 26 weeks in the tax year– though not necessarily continuously. Where, however, someone has concurrent, but separate and distinct employments, it is possible for them to pay multiple contributions in respect of the same tax weeks, and therefore satisfy the condition in far fewer than 26 separate weeks] ; and
- the second contribution condition requires the person to have paid, or been credited with, Class 1 contributions (or, in some exceptional circumstances, Class 2 contributions) in both of the relevant income tax years amounting to a total of at least 50 times the minimum contribution for that year.

Payment of Class 1 and Class 2 National Insurance contributions gives rise to an ‘earnings factor’ which is used to calculate entitlement to contributory benefits. For Class 1 contributions the earnings factor is the amount of earnings, excluding those above the upper earnings limit (UEL) upon which contributions have been paid. The minimum rate at which an individual is deemed to have made a contribution is the lower earnings limit (LEL) 112 GBP in 2016/2017. For claims dated on or after 1 November 2010 earnings above the LEL are disregarded when determining the first contribution condition.

2.2 *Calculation of benefit amount*

2.2.1 *Calculation of gross benefit*

JSA contribution-based is payable at the rate of GBP 73.10 per week for a single person aged 25 and over or GBP 57.90 per week for those aged 16-24. This is a personal

benefit and does not include an amount for partners or children (support for the latter is through the tax credits system – see section 8).

2.2.2 *Income and earnings disregards for benefit recipients and those starting a new job*

JSA contribution-based may be reduced penny for penny in respect of earnings over certain limits - normally GBP 5 a week, but GBP 20 for some special occupations. The benefit is also reduced on account of occupational or personal pensions of more than 50 GBP per week gross.

2.3 ***Tax treatment of benefit and interaction with other benefits***

JSA contribution-based is taxable.

2.4 ***Benefit duration and waiting periods***

Jobseeker's Allowance is payable for as long as a jobseeker meets the conditions of entitlement, except for the first 7 days¹ of benefit in a new award which are known as 'waiting days'. JSA claimants are exempt from waiting days in certain cases, for example, if the claim is made within 12 weeks of the end of a previous award.

JSA contribution-based is payable for up to 182 days in any one job-seeking period, which may straddle more than one award of JSA provided the break in entitlement is less than 12 weeks. The entitlement to 182 days of JSA contribution-based once exhausted cannot be re-used for a subsequent claim that relies on contributions made in the same relevant income tax years.

Once the period of entitlement to contribution-based JSA has been exhausted a jobseeker may continue to receive income-based JSA (section 3), providing they continue to meet the conditions of entitlement and their income and capital is low enough.

2.5 ***Treatment of particular groups***

2.5.1 *Young persons*

People aged 16 or 17 are eligible for contribution-based JSA but are unlikely to be able to satisfy the contribution conditions. They may be able to claim income-based JSA.

2.5.2 *Older Workers*

2.5.3 *Other groups, including disabled*

¹ Waiting period was extended from 3 days to 7 days on 27 October 2014 for new claimants

3. Unemployment assistance

Overview of the unemployment assistance scheme (see Chapter 3 for more details):

Program name (local name)		Jobseeker's Allowance (income-based)
Employment record (E) and contribution (C) conditions and relationship to unemployment insurance benefits (UI)		E + C: 0
Waiting period (days)		7
Maximum duration (months)		No limit
Up-rating mechanism of the benefit		The rate of JSA (income-based) has been frozen for four years from 2016/17 under the Welfare Reform and Work Act 2016.
Calculation of unemployment assistance benefit:	initial benefit as % of calculation base	weekly flat rate of GBP 73.10
	benefit at the end of legal entitlement period in % of calculation base	same as initial benefit
	Calculation base	--
	Permitted employment and disregards when receiving unemployment assistance benefit	GBP 5/10/20 are disregarded per week for a single/couple/lone parent, earnings above reduce benefit by the same amount; working less than 16 hours a week
Benefit provision (eligibility (E), generosity (G)) varies with	Age	G: - for 16 to 24 year olds, E: + for young lone parent (>17)
	family situation	see age condition
	contract type	n.a.
	Other	n.a.

Overview of employment-conditional benefits within the unemployment insurance scheme (see Section 3.2 2 for more details):

Program name (local name)		Jobseeker's Allowance (income-based) means test
Type of employment-conditional benefit		Lower benefit withdrawal rate
Beneficiaries of employment-conditional benefit		Jobseeker's Allowance recipient (income-based)
Eligibility and calculation criteria	Time dependency of employment-conditional benefit	No
	Child-based condition	No
	Influence of number of children on benefit amount	No
	Working hour criterion	No
	Transition criterion	No
	Minimum earnings criterion for eligibility	No
Up-rating mechanism of the benefit		The rate of JSA (income-based) has been frozen for four years from 2016/17 under the Welfare Reform and Work Act 2016.
Benefit calculation(1)	Income assessment unit	Net
	(Maximum) benefit amount	GBP 5/10/20 are disregarded per week for a single/couple/lone parent, earnings above reduce benefit by the same amount; working less than 16 hours a week
	Phase-in rate	--
	Phase-out rate	--

3.1 *Conditions for receipt*

This section covers JSA (income-based) - see section 2.1 for the main entitlement conditions.

3.1.1 *Employment conditions*

Recipients must be out of work or working less than 16 hours a week on average. Their partners must be out of work or working less than 24 hours per week on average.

3.2 *Calculation of benefit amount*

3.2.1 *Calculation of gross benefit*

Income-based Jobseeker's Allowance is assessed as the difference between the claimant's "applicable amount" and income. There are capital limits – broadly capital over GBP 6000 affects the amount of benefit paid, and benefit is not paid to people with capital over GBP 16000. The applicable amount consists of personal allowances and specified premiums (these allowances and premiums are the same for income-based Jobseeker's allowance (JSA[IB]), Income support (IS) and Housing benefit (HB) (see table). Slightly different rules apply to Employment and Support Allowance (ESA).

Family type	Rates of applicable amount (in GBP per week)
Personal allowance	
Single	
16-24	57.90
25 and over	73.10
Lone parent	
16-17	57.90
18 or over	73.10
Couple (both 18 or over)	114.85

There are further premiums for other specific circumstances, e.g. disabilities and caring responsibilities.

3.2.1.1 *Irregular additional payments*

Cold Weather payments, detailed in section 4.2.1.1 may be payable for some Jobseeker's Allowance recipients.

3.2.1.2 *Obligations of family members*

Members of a couple where at least one of the couple is aged 18 or over; and, neither member of the couple is responsible for a child or young person, are required to make joint claims to income-based JSA. Both members of the joint claim are required to satisfy the conditions for receipt of JSA unless one member fits into an exempt group. In certain circumstances a member of a couple may still be able to receive JSA even if their partner has not made a joint claim with them.

3.2.2 *Income and earnings disregards for benefit recipients and those starting a new job*

JSA (income-based) is reduced by capital over GBP6000 – a tariff income is assumed at a rate of £1 for every £250, or part £250, by which capital exceeds GBP6000. No benefit is payable if capital exceeds GBP16000.

Weekly earnings disregards are GBP 5 for a single person; GBP 10 for couples; and GBP 20 for certain special groups and occupations (e.g. lone parents). Most other forms of income, including occupational pensions and most other social security benefits, reduce JSA on a

penny-for-penny basis. However, some benefits, such as Housing Benefit, Child Tax Credit and Disability Living Allowance are fully disregarded.

3.3 *Tax treatment of benefit and interaction with other benefits*

Income-based JSA is taxable up to certain limits. Payment of income-based JSA generally conveys entitlement to full Housing Benefit without the need for a separate means test, although there are some specific exceptions².

3.4 *Benefit duration and waiting periods*

Paid as long as the conditions are fulfilled, after a 7-day³ waiting period.

3.5 *Treatment of particular groups*

3.5.1 *Young persons*

The minimum age for eligibility to income-based JSA is normally 18, but JSA can be paid to 16 and 17 year olds in special cases (for example, if they are estranged from parents), or under special hardship rules.

3.5.2 *Older workers*

Older people can continue to receive JSA until State Pension age.

3.5.3 *Other groups, including disabled*

² From April 2014, some EU jobseekers may be entitled to JSA(IB), but not have any corresponding entitlement to HB.

³ Waiting period was extended from 3 days to 7 days on 27 October 2014 for new claimants.

4. Social assistance

The main out of work benefits are Jobseeker's Allowance, Employment and Support Allowance and Income Support (for those not required to be available for work). These benefits are designed to provide financial help to those whose net income falls below a set minimum level. In addition there are a number of other means-tested benefits/tax credits, as follows:

- Council Tax Support: help towards the tax raised by local authorities. Eligibility for this support is determined by each individual local authority.
- Housing Benefit (see Section 5).
- Working Tax Credit and Child Tax Credit (see Section 8 and 6).
- Various benefits for the sick and disabled and the Social Fund which are outside the scope of this study.

Overview of the basic Social Assistance policy (see Chapter 4 for more details):

Program name (local name)		Income Support
Age condition for social assistance receipt		16 and over
Legal behavioural requirements ⁴	Registration as unemployed	No
	Participation in integration measures	No
	Active job search	No
	Work requirement	No
	Other conditions for receipt of benefit (including requirements for conditional cash transfers (CCT))	No
	Legal behavioural requirements for adult family members other than the benefit claimant	Partner must not work more than 16 hours per week
Determination of benefit levels		National
Up-rating mechanism of the benefit		The rate of Income Support has been frozen for four years from 2016/17 under the Welfare Reform and Work Act 2016.
Other supplements to basic benefit (per family)		None
Means-test for social assistance	Earnings disregards	GBP 5/10/20 are disregarded per week for a single/couple/lone parent, earnings above reduce benefit by the same amount; working less than 16 hours a week

⁴ Legal behavioural requirements are applicable to Income Support specifically. This does not apply to wider Social Assistance schemes that may be available.

	Benefit withdrawal rate with regard to earned income	100% Benefit fully withdrawn if working 16 or more hours per week
	Assets included in means test?	Yes
	Other benefits included in the means test	Unemployment Insurance (Jobseeker's Allowance)
Benefit provision (eligibility (E), generosity (G)) varies with	Age	G: - for 16 to 24 year olds, E: + for young lone parent (>17)
	family situation	G: + below proportional if married or lone parent
	over time	n.a.
	Other	n.a.

Notes:

Conditions for working-age individuals.

Overview of employment-conditional benefits within the social assistance scheme⁵ (see Section 4.2.2 for more details):

Program name (local name)		Income Support
Type of employment-conditional benefit		Lower benefit withdrawal rate
Beneficiaries of employment-conditional benefit		Income support recipient in work, but working less than 16 hours per week
Eligibility and calculation criteria	Time dependency of employment-conditional benefit	No
	Child-based condition	No
	Influence of number of children on benefit amount	No
	Working hour criterion	No
	Transition criterion	No
	Minimum earnings criterion for eligibility	No
Up-rating mechanism of the benefit		As above for Income Support
Benefit calculation(1)	Income assessment unit	Net
	(Maximum) benefit amount	GBP 5/10/20 are disregarded per week for a single/couple/lone parent, earnings above reduce benefit by the same amount; working less than 16 hours a week
	Phase-in rate	--
	Phase-out rate	--

4.1 *Conditions for receipt*

Income Support is a means-tested benefit payable to people of working age who are not expected to be available for work, for example, full-time carers and lone parents of children aged under 5. Persons with savings or capital above GBP 16000 are not eligible; the first GBP 6000 of savings are ignored and a weekly income is assumed from savings of between GBP 6000 and GBP 16 000. The first GBP 10 000 of savings are ignored for people living in residential care or nursing homes.

⁵ Description of component of Income Support that is applicable to those with low incomes. This is not a separate benefit.

4.1.1 *Employment conditions*

Income Support recipients must (with a few exceptions) be unemployed or working less than 16 hours per week (24 hours per week for partners).

4.1.2 *Contribution conditions*

None.

4.2 *Calculation of benefit amount***4.2.1** *Calculation of gross benefit*

Family type	Rates of applicable amount (in GBP per week)
Personal allowance	
Single	
18-24	57.90
25 and over	73.10
Lone parent	
18 or over	73.10
Couple (both 18 or over)	114.85
Child	Nil ¹

1. For new applicants this support is provided through Child Tax Credit (see section 8). From April 2004, customers making new claims to JSA or IS have not received financial support for their children through JSA or ISA 3rd or subsequent child born after 6 April that the claimant is responsible for, where they already receive financial support for children through IS or JSA, will not be paid for. There are exceptions to this rule.

There are further premiums for other specific circumstances, e.g. disabilities, caring responsibilities.

Income Support is the difference between the applicable amount and the claimant's income. The applicable amount consists of personal allowances, premiums and some housing costs (see table).

The income consists of the net earnings and other income of the claimant and partner, subject to some disregards and deductions (including deduction for cost of childcare).

4.2.1.1 *Irregular additional payments*

Some recipients of Income Support, income-based Jobseeker's Allowance or income-related Employment and Support Allowance may be eligible for a Cold Weather Payment for each qualifying week when the average temperature where they live is recorded as, or forecast to be, zero degrees Celsius or below over seven consecutive days during the period from 1 November to 31 March. In 2016/2017, the Cold Weather Payment is £25 for each qualifying week.

4.2.1.2 *Obligations of family members*

None.

4.2.2 *Income and earnings disregards for benefit recipients*

Weekly earnings disregards are GBP 5 for a single person, GBP 10 for couples and GBP 20 for certain other groups, such as lone parents and disabled people, and certain special occupations. Income other than earnings, including most other social security benefits, are normally taken fully into account and reduce benefit penny for penny. However, some benefits, such as Housing Benefit, Child Tax Credit and Disability Living Allowance are fully disregarded.

4.3 *Tax treatment of benefit and interaction with other benefits*

Income Support is not taxable. Payment of Income Support conveys entitlement to full Housing Benefit without the need for a separate means test.

4.4 *Benefit duration and waiting periods*

Paid as long as the conditions are fulfilled.

4.5 *Treatment of particular group*

4.5.1 *Young persons*

Income Support is paid to young people aged 16 or over only if they meet the necessary conditions.

4.5.2 *Older worker, carers, disabled/sick people*

Since October 2003 people over the State Pension Credit qualifying age must claim State Pension Credit rather than Income Support. The Pension Credit combines an Income Guarantee with a Savings Credit payable to those 65+ to reward those who have saved. There are also additional premiums for disabled people and carers.

4.5.3 *Others if applicable, including disabled*

5. Housing benefits for rented accommodation

Housing Benefit is a means-tested benefit, which provides help with paying the rent for private or social housing for people on low income.

Universal Credit incorporates support for housing costs, replacing the need for Housing Benefit and combines six means tested benefits, for claimants of working age. Universal Credit is being rolled out and will complete nationally for all new claims by the end of September 2018.

Overview of housing benefits (further detail follows in chapter):

Regular housing benefits	Program name (local name)		Housing benefit (Local Housing Allowance is assumed in the Tax Benefit Model)
	Entitlement depends on	Household type/size	Yes
		Income	Yes
		Dwelling size	Yes
		Geographic location	Yes
		Actual rental cost	Yes
	Description of regular housing benefit		Benefit is paid on "eligible rent" which may differ from contractual rent. Benefit is rent less 65% of difference between net resources and social assistance rates. For those on social assistance, benefit amounts to "eligible rent". Social assistance rates include additional amounts for dependent children.
	Up-rating mechanism of the benefit		Housing Benefit social assistance rates have been frozen for four years from 2016/17 (the Welfare Reform and Work Act 2016). Housing Benefit uprating under Local Housing Allowance (LHA) rules in the private rented sector: Since April 2016, LHA rates have been frozen for four years in accordance with secondary legislation (The ‘Rent Officers Order’, as amended by The Rent Officers (Housing Benefit and Universal Credit Functions) (Local Housing Allowance Amendments) Order 2015).
Housing related support through other benefits		Support may be provided to homeowners.	

5.1 Conditions for receipt

Families with capital above GBP 16 000 are not usually eligible. The first GBP 6 000 of capital is ignored. For capital between GBP 6 000 and GBP 16 000, a notional income is taken into account. However a lower capital limit of GBP 10 000 generally applies where the claimant or their partner have reached the qualifying age for Pension Credit.

5.2 *Calculation of gross benefit*

For people not receiving Income Support, income-based Jobseeker's Allowance, income-related Employment and Support Allowance, or the guarantee element of State Pension Credit, Housing Benefit is the eligible rent minus 65 per cent of the difference between net resources and the applicable amount. For all other claimants, including those not receiving the benefits mentioned in the previous sentence but whose income is below social assistance rates, Housing Benefit is the full amount of eligible rent. In both cases a deduction may be made in expectation of a contribution towards the rent from a non-dependent adult living in the same household. This contribution depends on the non-dependant's age, whether they are working and their gross income. If the Housing Benefit formula gives a value below 50 pence/week, no payment is made.

Eligible rent is the rent on which Housing Benefit entitlement is calculated. Eligible rent may differ from the contractual rent. This may happen, for example, if the contractual rent includes ineligible service charges or is deemed to be excessive (either for the property in question or relative to other rents in the area) or if the size of the property is excessive relative to the claimant's needs.

The Local Housing Allowance (LHA), which is part of Housing Benefit rather than a separate benefit in its own right, was rolled out nationally from 7 April 2008. The LHA rules apply to the majority of customers entitled to Housing Benefit who are renting privately. There are some exceptions to the scheme.⁶

The rate of LHA for which a claimant will qualify will depend on the number of occupiers in a household and the area in which they live. The size criteria determine the appropriate number of bedrooms for which the occupiers qualify. Since April 2011, the maximum level is four bedrooms. In most circumstances, LHA is paid directly to the tenant rather than to the landlord.

There will be situations where an individual's circumstances might require larger accommodation than the size criteria would allow, and they may consequently face a shortfall in their ability to meet their rent as a result. In such cases (and in others where there is a shortfall), the local authority has a discretionary power to consider the award of Discretionary Housing Payments which can address an individual's specific accommodation needs where necessary. As this is a discretionary scheme it is for the local authority to decide whether and how much should be awarded in any particular case and how long the award should last; neither Ministers nor officials of the Department for Work and Pensions (DWP) can interfere in this process. Whilst these are decisions made by the local authorities DWP has previously provided authorities with guidance to help with their local decision making.

From April 2011 LHA rates were set at the 30th percentile of local rents rather than at the median rate. This meant that, typically, about three in ten properties in the private rented sector were affordable to people in receipt of Housing Benefit. Also introduced from April 2011, were national caps or limits which LHA rates cannot exceed.

Since 2013, LHA rates have been set annually in accordance with Government uprating policy such as increasing by CPI (2013/14), limiting increases to 1% (2014/15 and 2015/16) and freezing rates for 4 years (2016/17 until 2019/20). Even during the 4 year freeze, LHA

⁶ Exceptions include certain types of accommodation and tenancies and any existing customers who applied under the old scheme and have not changed address since. In these cases, the old Local Reference Rent system still applies where cases are referred to the Rent Officer for an individual determination.

rates are still reviewed annually and are set at the 30th percentile of local rents if this is lower than the previous 'frozen' rate.

Targeted Affordability Funding (TAF) was introduced from 2014 alongside the 1% limit placed on LHA uprating at that time. It was created from recycling 30% of the savings from the measure. Further TAF is available from 2017/18 until 2019/20 to help mitigate some of the impacts from the LHA 4 year freeze. The funding will be used to increase some LHA rates in certain areas. Decisions are made annually to determine which rates can be increased and by how much.

From 1 April 2013, Council Tax Benefit (a national benefit providing help towards local tax) was abolished; and Council Tax support was localised. Each local authority now determines their own eligibility criteria, and can cover up to the full amount of Council Tax liability through Council Tax support.

5.2.1 Income and earnings disregards

Earnings Disregards are GBP 5 for a single person; GBP 10 for a couple; GBP 20 for some disabled people and GBP 25 for a lone parent. Certain incomes other than earnings, paid for a special reason (e.g. to meet the cost of disability) may be disregarded in part or in full. Net income for calculation purposes are defined as gross earned income after tax and social security contributions less half of any sum paid by the claimant towards an occupational or personal pension scheme, plus most other unemployment/social security benefits and Tax Credits, and other unearned income.

A housing benefit disregard to reflect tax credits was introduced from the 2001-02 tax year. The HB disregard for tax credits (the 'additional earnings' disregard) for 2017/18 and 2016/17 is GBP 17.10.

There is an additional income disregard of GBP 66.90 per week for each child in a family. In new claims from 2017/18, in most cases the additional income disregard of GBP 66.90 only applies to the first two children in a family.

Note: Housing Benefit is itself fully disregarded when local authorities carry out means tests, for example for local Council Tax support.

5.2.2 Costs eligible for housing benefit

Examples of LHA rates depending on the number of occupiers and the area in which they live (for current rates in England, see: <https://lha-direct.voa.gov.uk/search.aspx>):

Central London Broad Rental Market Area	LHA rates (April 2016/2017)
Shared Accommodation	136.52
1 Bedroom (and shared accommodation)	260.64
2 Bedrooms	302.33
3 Bedrooms	354.56
4 Bedrooms	417.02
 Hull & East Riding Broad Rental Market Area	
Shared Accommodation	60.80
1 Bedroom	69.73
2 Bedrooms	86.30
3 Bedrooms	103.56
4 Bedrooms	132.33
 Maidstone Broad Rental Market Area	
Shared Accommodation	68.28
1 Bedroom	123.58
2 Bedrooms	157.56
3 Bedrooms	180.45
4 Bedrooms	235.41

The LHA national caps are currently set at the following levels (April 2016/2017):

- £260.64 for shared accommodation and one bedroom property,
- £302.33 for a two bedroom property,
- £354.46 for a three bedroom property,
- £417.02 for a four bedroom property.

5.3 Tax treatment of benefit and interaction with other benefits

Both Housing Benefit and Council Tax support are non-taxable.

5.4 Treatment of particular groups

5.4.1 Young persons

For Housing Benefit, the same personal allowance of GBP 57.90 applies to a single person aged less than 25 or a lone parent aged less than 18, whilst the personal allowance for a couple with at least one aged 18 or over is GBP 114.85.

5.4.2 Older workers

There are higher applicable amounts for those who have reached the qualifying age for state pension credit: the weekly rates are GBP 155.60 for a single person under the age of 65 and GBP 168.70 if aged 65 or over, and GBP 237.55 for a couple where both are under the

age of 65 and GBP 252.30 where one or both partners are aged 65 or over. As for income support, there are also additional premiums for disabled people and carers.

5.4.3 *Homeowners*

Housing Benefit cannot be claimed by people who are owner occupiers (unless they part own and part rent). Help is provided towards mortgage interest payments (known as Support for Mortgage Interest) paid as part of Income Support, income-based Jobseeker's Allowance, income related Employment & Support Allowance, State Pension Credit and Universal Credit.

Help is provided for loans taken out to purchase the property and specific loans for repairs and improvements to maintain the property as fit for habitation. Help is available towards certain other housing costs such as ground rent paid under a long tenancy and certain service charges.

Benefit help is given towards the interest on a mortgage/loan for repairs and improvements and is calculated using a standard interest rate (SIR). Changes were implemented when the Bank of England amended its base rate. No help is provided towards arrears, endowment policies or capital repayments.

Help is provided from the outset of a claim for customers in receipt of State Pension Credit.

Waiting periods apply for those in receipt of Income Support, income-based Jobseeker's Allowance and income-related Employment & Support Allowance. Customers with a loan taken out prior to 2 October 1995 – receive no help for the first 8 weeks of their claim, 50% of eligible interest for a further 18 weeks and 100% of their eligible mortgage interest from week 27. A customer is deemed to have “existing housing costs” in this situation.

Customers with a mortgage taken out after 2 October 1995 receive no help for the first 39 weeks and 100% of their eligible mortgage interest from week 40.

However, since 5 January 2009, the waiting period for new claimants in both groups has been temporarily reduced to 13 weeks.

Restrictions

Help with interest payments is limited to the interest on the outstanding capital of up to GBP100,000 for State Pension Credit claimants and up to £200,000 for working age claimants. Exceptions to these limits may apply where a home improvement loan is needed to make the existing property suitable for a disabled member of the household.

Generally no help can be provided where a loan has been taken out when a customer is in receipt of benefit. Help can only be provided when certain specific conditions are met.

Mortgage Interest Direct

The Mortgage Interest Direct (MID) Scheme was set up in 1992 following consultation with the Council of Mortgage Lenders. It was decided that payments of mortgage interest would be made direct to the lender to reduce the threat of repossession for those on income related benefits.

Customers who receive help towards their housing costs through Income Support, income-based Jobseeker's Allowance, income-related Employment & Support Allowance or Guarantee element of State Pension Credit normally have their mortgage interest element paid direct to their lender.

Customers in receipt of Savings Credit element only of State Pension Credit can opt to have their payments made direct.

Changes to the rules for Support for Mortgage Interest were made from January 2009.

As a response to the economic downturn, on 2 September 2008, the then Government announced a £1 billion package of measures to help vulnerable householders at risk of losing their property, first time buyers, and the house building industry. These included a shorter waiting period and higher outstanding capital limit for new working age claimants. These changes were intended to help people over the potentially difficult labour market problems they faced and help limit repossessions.

From 5 January 2009 regulations made the following changes to housing cost provisions in Income Support, income-based Jobseeker's Allowance and income-related Employment & Support Allowance customers:

- The capital limit for loans doubled to £200,000 for new working age customers in receipt of benefits listed above;
- The waiting period for new working age customers reduced from 26 or 39 weeks to 13 weeks from 5 January 2009. From April 2016 this returned to 39 weeks as announced in the Summer Budget 2015;
- A 2 year time limit for SMI was introduced for income-based Jobseeker's Allowance (JSA) claims only.

Following a period when the Standard Interest Rate (SIR) had been fixed at 6.08% because of the rapid fall in the Bank of England Base Rate during the recession, from 1 October 2010 a new method for calculating the SIR was introduced. This new SIR was used to calculate allowable mortgage interest on all new, existing and repeat claims from 1 October 2010.

The SIR is set at a level based on the Bank of England's published monthly average mortgage rate. The SIR will only change if the difference between the Bank of England's published average mortgage rate (AMR) and the current SIR is at least 0.5%. The new SIR when introduced, (and as at 1 July 2015) was 3.63%. It changed to 3.12% on 6 July 2015 as a result of a fall in the AMR.

In the Summer Budget of 2015, it was announced that the capital limit for loans would be permanently maintained at £200,000 for working age claimants, and from April 2016 the waiting period for these claimants would return to its pre-recession level of 39 weeks. From April 2018 regulations made under powers in the Welfare Reform and Work Act 2016 will also change SMI from a benefit into an interest-bearing loan, secured against the mortgaged property.

6. Family benefits

Overview of family and lone parent benefits:

Program name (local name)			Child Benefit	Child Tax Credit
Type of benefit			Universal, but off-set by tax charge for high-income families. Claimants do not have to be in work	Means tested benefit. Parents do not have to be in work.
Eligibility criteria	Age limits for children (in parentheses if student)		15 (19)	15 (19)
	Other conditions for receipt of benefit (including requirements for conditional cash transfers (CCT))		Must be “responsible” for the child or young person who: - lives with them; or - they contribute to the cost of providing for the child up to the equivalent amount of the weekly Child Benefit for that child	Must be “responsible” for the child or young person who: - normally lives with them
Up-rating mechanism of the benefit			Annual	Annual
Benefit amount	Benefit amount per child varies with (where +: increase; -: decrease; 0: no change; +/-: decrease or increase)	Age of child	0	0
		Number of children	(-) GBP 20.70 per week for the first child, 13.70 for subsequent children	(+) Maximum amount payable before income test applied (annual amounts): - GBP 545.00 (‘family element’ one award per family) - GBP 2,780 (‘child element’ payable for each child) - GBP 3,140 (‘disabled child element’ payable for each disabled child – in addition to the child element) - GBP 1,275 (‘severely disabled child element’ payable for each severely disabled child, in addition to the child and disabled child elements)

Means test	Earnings part of means test?	No, but High Income Child Benefit Charge if the claimant or their partner has an individual income above GBP 50,000 a year	Yes. Income test applied to both Working Tax Credit and Child Tax Credit amounts.
	Earnings disregard		Income disregard for Working Tax Credit (whether on its own or in addition to Child Tax Credit) GBP 6,420 per year and if Child Tax Credit only awarded GBP 16,105 per year
	Withdrawal rate of the benefit	1% of Child Benefit award tax charge for each GBP 100 of income between GBP 50,000 to 60,000, beyond 60,000 the amount of tax charge will equal the amount of Child Benefit ⁷	41%
	Assets part of means test?	No	No

6.1 *Conditions for receipt*

Child Benefit and Child Tax Credit are paid in respect of each child in the family under 16, or 19 if still in approved education or training.

6.2 *Calculation of benefit amount*

6.2.1 *Calculation of gross benefit*

Child Benefit is payable at the weekly rate of GBP 20.70 for the eldest child for whom benefit is payable and GBP 13.70 per week in respect of each other child.

Child Tax Credit has a maximum amount payable before income test applied (annual amounts):

- GBP 545.00 ('family element' one award per family)
- GBP 2,780 ('child element' payable for each child)
- GBP 3,140 ('disabled child element' payable for each disabled child – in addition to the child element)
- GBP 1,275 ('severely disabled child element' payable for each severely disabled child, in addition to the child and disabled child elements)

6.2.1.1 *Irregular additional payments*

⁷ Claimant can opt out of benefit receipt rather than pay tax charge.

6.2.2 *Income and earnings disregards*

Child Benefit is not subject to any means test. (But it is subject to a tax charge for those higher rate taxpayers earning in excess of GBP 50,000 from January 2013).

From January 2013, a tax charge was introduced for a taxpayer who has income over GBP 50,000 a year and either they or their partner are in receipt of Child Benefit. For those with income between GBP 50,000 and GBP 60,000, the amount of the charge is 1% of the Child Benefit for every GBP 100 of income over GBP 50,000. For those with income over GBP 60,000, the amount of the charge will equal the amount of Child Benefit. Claimants can keep receiving their Child Benefit payments and pay a tax charge, or stop receiving the payment benefits and not pay the charge.

Child Tax Credit is a means tested benefit. An income test is applied to Child Tax Credit amounts. There is an income threshold for people in receipt of Working Tax Credit and Child Tax Credit– GBP 6,420.00 per year and if Child Tax Credit only awarded GBP 16,105. This means that if a claimant is, or claimants (in a joint claim by a couple) are, entitled to Working Tax Credit, whether on its own or in addition to Child Tax Credit, and their annual income is below the threshold of GBP 6,420, they will get the maximum amount of all the tax credit elements that they qualify for. If their income is over GBP 6,420, the maximum award is reduced by 41 pence for every pound of income over that threshold. If a claimant is, or joint claimants are, entitled to Child Tax Credit only, they will receive the full amount of that tax credit until their annual income reaches GBP 16,105.

6.3 *Tax treatment of benefit and interaction with other benefits*

From January 2013, Child Benefit is subject to a tax charge for those higher rate taxpayers earning in excess of GBP 50,000 (see section 6.2.2). From 2 November 2009 Child Benefit income is wholly disregarded in Housing Benefit.

Child Tax Credit is not taxable.

6.4 *Treatment of particular groups*

6.4.1 *Young persons*

For Child Benefit and Child Tax Credit, parents of 16 and 17 year olds who have just left school or approved training and who are registered for work, education or on youth training schemes with their local careers service, Connexions (or a similar organisation in Northern Ireland, are also eligible for Child Benefit and Child Tax Credit for up to 20 weeks from the week the young person left school or approved training, subject to other conditions being met.

6.4.2 *Older workers*

6.4.3 *Others if applicable, including disabled*

Child Tax Credit has additional elements for disabled children and qualifying young persons:

-GBP 3,140 ('disabled child element' payable for each disabled child or qualifying young person – in addition to the child element); a claimant may be eligible for the disabled child element if Disability Living Allowance or the Personal Independence Payment is being paid

for the child or qualifying young person in question, if the child or qualifying young person is certified as severely sight impaired or blind by a consultant ophthalmologist or ceased to be so certified in the 28 weeks before the claim for Child Tax Credit;

-GBP 1,275 ('severely disabled child element' payable for each severely disabled child or qualifying young person, in addition to the child and disabled child elements; a claimant may be eligible for the severely disabled child element if the highest rate care component of Disability Living Allowance, the enhanced daily living component of Personal Independence Payment or an Armed Forces Independence Payment is being paid for the child or qualifying young person in question.

7. Childcare for pre-school children

Education is a devolved responsibility, and each of England, Scotland, Northern Ireland and Wales are responsible for setting the policy and monitoring participation in childcare for pre-school children in their respective countries.

Children enter primary school from age five (when they reach compulsory school age) though many start in the reception class of primary school at age four.

In Scotland, Children born between March and August start school in the August of, or following, their fifth birthday. Those born between September and February start school in the August prior to their fifth birthday. As such, children in Scotland usually start school between the ages of 4.5 and 5.5 years old.

(Source, Scottish Government, Growing Up in Scotland Early Experiences of Primary School <http://www.gov.scot/Publications/2012/05/7940/4>)

In Northern Ireland children enter primary school from age four. Some may also enter reception but not until their 4th birthday.

Numbers of three and four year olds benefiting from some free early education

In January 2017, the number of three and four year olds in England benefiting from some funded early education was 1,317,660 or 95 per cent of the three and four year old population.

(Source: DfE Provision for Children Under Five Years of Age in England: January 2017 (Statistical First Release SFR 29/2017))

In Scotland, there were 96,961 registrations (86,437 three and four year olds) for funded Early Learning and Childcare places in September 2016, which approximates to 99% of eligible 3 and 4 year olds.

(Source: Summary Statistics for Schools in Scotland, No. 7: 2016).

In Wales, the total childcare places as at 31/03/17 was 84,013. This is based on the number of places each service is registered to provide. The annual statistical release can be found here for more detail:

<http://gov.wales/statistics-and-research/service-settings-places-regulated-cssiw/?lang=en>

In Northern Ireland pre-school education is non-compulsory, but most parents - around 92% - choose to apply for a funded pre-school place for their child. In October 2016, the number of pre-school children in Northern Ireland in funded pre-school education was 23,601. (Source: School Census October 2016)

Eligibility for free early education places

All three and four year olds in England are entitled to 570 hours a year of free early education over no fewer than 38 weeks of the year (which equates to 15 hours a week for 38 weeks). Disadvantaged two year olds who meet the eligibility criteria are also entitled to a free place. Children become eligible for a free place 1st September, 1st January, or 1st April following their second or third birthday as applicable. For example; if a child was born on 15th February 2012, then they will become eligible for free early education from 1st April 2015.

Free early education places are available at nursery schools, nurseries on school sites, nursery classes in schools and academies, children's centres, day nurseries, playgroups and pre-schools and with child-minders.

Source <https://www.gov.uk/help-with-childcare-costs/free-childcare-and-education-for-2-to-4-year-olds>

In Scotland, all 3 and 4 year olds are entitled to 600 hours of early learning and childcare per year, from the term after their 3rd birthday (starting in August, January or April). This must be over a minimum of 38 weeks a year (or pro rata) which need not be confined to term time. It is intended that children take up their entitlement at times that best support their learning and support the needs of parents. Around a quarter of 2 year olds are also eligible - based on entitlement to certain benefits and also 2 year olds who are looked after, under a kinship care order, or with a parent appointed guardian. The local authority may offer places at nurseries, nursery classes in schools, playgroups, or child-minders either through their own services or through partners in the private or third sector.

In Northern Ireland the Pre-school Education Programme (PSEP) is a universal service which offers funded pre-school education places for children in their immediate pre-school year i.e. children born between 2 July 2012 and 1 July 2013 can apply for a pre-school place commencing in September 2016 and will enter primary school (compulsory education) in September 2017. Pre-school education places are available in nursery schools, primary schools with nursery units and voluntary/private settings that have funded places; nursery schools and primary schools with nursery units can offer either full-time (minimum of 4.5 hours per day) or part-time (minimum of 2.5 hours per day) sessions. All voluntary/private pre-school education providers offer part-time sessions only. Places in the PSEP are funded for 38 weeks of the year.

7.1 *Out-of-pocket childcare fees paid by parents*

There are no official statistics available on the average fees paid by parents for childcare.

The following figures are based on a survey conducted by the Family and Childcare Trust (national UK charity) in 2015. The information is compiled from a survey of Family Information Services in Great Britain. The figures in the table below are based on 25 hours a week childcare in a nursery or with a childminder and 15 hours a week at an out of school club.

	Nursery (under 2)	Nursery (2 and over)	Childminder (under 2)	Childminder (2 and over)	Out-of-school Club (15 hours)
England average (GBP)	117.30	111.64	105.28	104.15	47.91
Scotland average (GBP)	110.01	99.93	100.37	99.30	49.03
Wales average (GBP)	104.32	103.44	96.81	96.81	49.74
Britain Average	115.45	109.83	104.06	103.04	48.18

Source: Childcare Costs Survey 2015 (*Family and Childcare Trust, March 2015*)

7.2 Child-care benefits

The childcare element of Working Tax Credit is payable for the cost of “registered” or “approved” childcare. It can help with up to 70% of a family’s childcare cost subject to a maximum cost of £175 per week for one child and £300 per week for two or more children. This means that the maximum a family can receive is £122.50 a week for one child and £210.00 for two or more children. But the actual amount payable will depend on the household income.

7.2.1 Conditions for receipt

To claim the childcare element of Working Tax Credit, the claimant must be aged 16 or over. If the claimant is a lone parent, he or she must work 16 hours a week or more.

If a couple is claiming the childcare element, both members of the couple must work 16 hours a week or more. However, only one partner needs to work 16 hours a week or more if the other partner is incapacitated (i.e. that person receives a relevant benefit such as Disability Living Allowance or Personal Independence Payment etc.), is an in-patient in hospital, is in prison or is entitled to Carer’s Allowance.

7.2.2 Calculation of benefit amount

See section 7.2 above.

7.2.2.1 Calculation of gross benefit

7.2.2.2 Income and earnings disregards

See section 8 on the Working Tax Credit.

7.2.3 Tax treatment of benefit and interaction with other benefits

See section 8 on the Working Tax Credit.

7.2.4 Treatment of particular groups

See section 8 on the Working Tax Credit.

8. Employment-conditional benefits

Working Tax Credit (WTC) is an in-work means-tested benefit to top up the earnings of people on low-incomes, whether employed or self-employed, including those who do not have children. It also contains additional elements for those working with a disability or severe disability and for those workers who pay childcare costs to ‘registered’ or ‘approved’ childcare providers. (Child Tax Credit is the main way that families get money for their children. Child Tax Credit is payable in addition to Working Tax Credit and is payable regardless of whether the claimant is in work or not. See Section 6.)

Overview of employment-conditional benefits:

Program name (local name)		Working Tax Credit
Type of employment-conditional benefit		In-work means-tested benefit to top up earnings
Beneficiaries of employment-conditional benefit		Working individuals
Eligibility and calculation criteria	Time dependency of employment-conditional benefit	No
	Child-based condition	No
	Influence of number of children on benefit amount	There is an additional GBP 2010 for lone parents. Claimants get 70% of eligible childcare costs up to GBP 175 for 1 child or GBP 300 for 2 or more children per week.
	Working hour criterion	A person must work a certain number of hours a week to qualify: Aged 25 to 59 without children or a disability - At least 30 hours; Aged 60 or over - At least 16 hours; Disabled - At least 16 hours; Single with 1 or more children - at least 16 hours; Couple with 1 or more children - Usually, at least 24 hours between them (with 1 of them working at least 16 hours)
	Transition criterion	No
	Minimum earnings criterion for eligibility	No
Up-rating mechanism of the benefit		Annual
Benefit calculation(1)	Income assessment unit	Gross household income
	(Maximum) benefit amount	A basic element of GBP 1,960 a year With additional elements added for: - a couple applying together, up to GBP 2,010 a year - a single parent, up to GBP 2,010 a year - working over 30 hours a week, up to GBP 810 a year - a claimant with a disability, up to GBP 2,970 a year - a claimant with a severe disability, up

		to GBP 1,275 a year (usually on top of the disability payment) - payments for approved childcare, up to GBP 122.50 (1 child) or GBP 210 (2 or more children) a week
	Phase-in rate	No
	Phase-out rate	41%

8.1 *Conditions for receipt*

For Working Tax Credit, the employee must be working at least 16 hours per week or 30 hours if aged 25 to 59 and does not have a child or a disability. From April 2012, couples with children have had to work for 24 hours a week between them with one partner working at least 16 hours.

8.2 *Calculation of benefit amount*

The amount of Working Tax Credit payable depends on your household income. It is calculated by adding together the elements you are entitled to and then by reducing those elements by 41 pence for every GBP1 by which your gross household income exceeds the first income threshold of GBP 6,420 per year. Generally, gross income is defined as earned income plus all relevant benefits but before the deduction of income tax and social security contributions.

No payment is made if the formula gives a value below 50 pence/week.

Family type	Rates of credits (in GBP per year)
WTC Elements	
Basic Element	1,960
Second Adult Element	2,010
Lone Parent Element	2,010
30 Hour Element	810
Disability Element	2,970
Severe Disability Element	1,275

In addition parents can receive 70 per cent of the actual childcare cost per week, up to a maximum childcare cost of GBP 175 per week if one child, GBP 300 per week if two or more children.

8.3 *Tax treatment of benefit and interaction with other benefits*

Not taxable.

8.4 *Benefit duration*

Paid as long as the conditions are fulfilled.

8.5 *Treatment of particular group*

8.5.1 Young persons

Claimants must be at least 25 years old to claim WTC, or at least 16 years old if they have a child or a disability.

8.5.2 Older workers

As outlined above, a person aged 60 or over has a reduced number of hours they have to work to be eligible, at 16 hours a week.

8.5.3 Others if applicable, including disabled

There are additional payments for disabled workers:

- a claimant with a disability, up to GBP 2,970 a year; to be eligible for the disability element, claimants must work 16 or more hours per week, have a disability which puts them at a disadvantage in getting a job or receive (or have been receiving) a qualifying sickness or disability benefit (e.g. Attendance Allowance, Disability Living Allowance, Personal Independence Payment, Armed Forces Independence Payment, etc.); in a joint claim by a couple, two disability elements may be paid if both spouses or partners meet all three conditions;
- a claimant with a severe disability, up to GBP 1,275 a year (usually on top of the disability payment); to be eligible for the severe disability element, claimants should be receiving the highest rate care component of Disability Living Allowance, the enhanced daily living component of Personal Independence Payment, an Armed Forces Independence Payment or an Attendance Allowance (higher rate); again, if both spouses or partners in a couple qualify for the severe disability element, two such elements may be payable.

9. Lone-parent benefits

Lone parents not in work are eligible for specific rates of Jobseeker's Allowance (see section 3) or Income Support (see section 4). If working, they may be eligible for Working Tax Credit if their earnings are low (see section 8). Entitlement to these benefits is not affected by any alimony or child maintenance payments received from the non-resident parent.

9.1 *Conditions for receipt*

See sections 3 and 4.

9.2 *Calculation of benefit amount*

9.2.1 Calculation of gross benefit

See sections 3 and 4.

9.2.1.1 Irregular additional payments

9.2.2 Income and earnings disregards

9.3 *Tax treatment of benefit and interaction with other benefits*

9.4 *Benefit duration*

9.5 *Treatment of particular group*

9.5.1 Young persons

9.5.2 Older workers

9.5.3 Others if applicable, including disabled

12. Tax system

12.1 Income tax

Income Tax consists of a central government income tax. Social security contributions are also paid.

12.1.1 Tax allowances and credits

- Basic Relief: a personal annual allowance of GBP 10,600 is granted to individuals born after 5 April 1938 with incomes below £100,000. The personal allowance is gradually withdrawn for those incomes above £100,000 at a rate of £1 of allowance lost for every £2 of income above £100,000. The gradual withdrawal of the personal allowance for those with incomes above £100,000 took effect from April 2010. For personal allowances for those born before 6 April 1938 please see section 12.4.2.
- Marriage Allowance: A member of a married couple or civil partnership may transfer 10% of their personal allowance to their spouse (i.e. GBP 1,060) if they are not using their full allowance, providing their spouse's income is less than GBP 42,385 (the threshold at which the 40% income tax rate starts to be applied).
- Child Tax Credit: see Section 6 (Family benefits).
- Working Tax Credit: see Section 8 (Employment-conditional benefits).
- Relief for social security contributions and other taxes: none.

12.1.2 The definition of taxable income

For the central government tax, it is simply gross earnings minus the personal allowance and certain reliefs (such as loss relief and pension contributions paid gross).

12.1.3 The tax schedule

In 2016-17 all taxpayers are liable on taxable income other than savings and dividend income at the basic rate of 20 per cent on the first GBP 32,000, a higher rate of 40 per cent over the basic rate limit of GBP 32,000 up to GBP 150,000, and an additional rate of 45 per cent over GBP 150 000. (Taxable Income is defined as gross income for income tax purposes less allowances and reliefs available at the marginal rate.) Dividend income is charged at 7.5 per cent up to the basic rate limit of GBP 32,000, 32.5 per cent above GBP 32,000 to GBP 150,000 and 38.1 per cent above GBP 150 000. From 2016-17, a new Dividend Allowance means that dividend taxpayers won't have to pay tax on the first GBP 5 000 of their dividend income, no matter what non-dividend income they have. Savings income is charged at 0 per cent on the first GBP 5,000, at 20 per cent up to GBP 32,000, 40 per cent between GBP 32,000 and GDP 150,000 and 45 per cent above GBP 150,000. From 2016-17, a new Personal Savings Allowance was introduced giving GBP 1 000 of savings income tax free for taxpayers with total income below the basic rate limit or GBP 500 for those with total income below the higher rate limit.

Taxable income (GBP)	Rate %
0 – 32 000	20
32 000– 150 000	40
Over 150 000	45

There are currently no regional or local income taxes. Instead, council tax is paid by the occupiers of domestic properties to local authorities. In England the amount of council tax a household pays is dependent on the valuation band of the property and the rate set by individual local authorities. Valuation bands are based upon the property value as of 1 April 1991, and set into eight bands. Rates are set by local authorities based on Band D, the ratio between each band are fixed as follows:

Property band	Value (GBP, as of 1 April 1991)	Tax rate relative to Band D
Band A	0-40,000	6/9
Band B	40,001-52,000	7/9
Band C	52,001-68,000	8/9
Band D	68,001-88,000	1
Band E	88,001-120,000	11/9
Band F	120,001-160,000	13/9
Band G	160,001-320,000	15/9
Band H	Over 320,000	2

12.2 *Treatment of family income*

The tax unit is the individual.

12.3 *Social security contributions and payroll taxes*

12.3.1 Contributions payable by employees and benefit recipients

National Insurance contributions are payable by employees earning more than GBP 155 in any week. These are 12 per cent of earnings between GBP 155 and GBP 827 and 2 per cent of earnings above GBP 827. Depending on eligibility, members of the National Insurance scheme qualify for pensions, sickness, industrial injury, unemployment benefits, etc. All employees earning under GBP 155 per week have no National Insurance contribution liability but a notional contribution will be deemed to have been paid in respect of earnings between GBP 112 and GBP 155 to protect benefit entitlement.

12.3.2 Contributions payable by employers

Employer's contributions are not payable for employees earning less than GBP 156 per week. The rate of employers' contributions for employees not contracted out of the additional (earnings related) scheme is 13.8 per cent of earnings above GBP 156 per week.

12.3.3 Payroll taxes

12.4 Treatment of particular group

12.4.1 Young persons

From 2015/16, employer National Insurance contributions have been abolished for those aged under 21 earning less than GBP 815 per week. Contributions are still payable on earnings above GBP 815 per week at the standard 13.8 per cent rate.

12.4.2 Older workers

Up until 2014/15 the amount of the personal allowance was higher for people born before 6 April 1948, depending on their income (for 2014/15, this was £10,500 for those born between 6 April 1938 and 5 April 1948, and £10,660 for those born before 6 April 1938). However, these higher personal allowances are converging with the personal allowance for those born on or after 6 April 1948 and the rates for 2015/16 are very similar between age groups. The personal allowance rates are £10,600 for those born between 6 April 1938 and 5 April 1948, and £10,660 for those born before 6 April 1938. The higher personal allowances are tapered away for those with income above £27,700, known as the income limit, until they reach the level of the personal allowance for those born before 6 April 1948 (£10,600 for 2015/16).

Those aged over state pension age are exempt from employee (but not employer) National Insurance contributions.

12.4.3 Others if applicable

Reference date for all information is **July 1st 2016**

Country chapter for OECD series *Benefits and Wages* (www.oecd.org/els/social/workincentives)

13. Part-time work

13.1 *Special benefit rules for part-time work*

None

13.2 *Special tax and social security contribution rules for part-time work*

None

14. Policy developments

14.1 Policy changes introduced from 2nd July 2014 – 1 July 2015

The personal allowance was set to £10,600 in 2015-16 from £10,000. The transferrable tax allowance for married couples and civil partners increased to £1,060 and is set at 10% of the personal allowance.

In the Budget of 2014, the starting rate of savings tax was reduced from 10% to 0% (the 10% rate was abolished) and the threshold for this rate was increased from £2,880 in 2014-15 to £5,000 of savings income above the personal allowance, taking effect from 2015-16.

Plans to increase the number of waiting days from three days to seven days in Jobseeker's Allowance and Employment and Support Allowance were implemented on 27 October 2014.

From 1 July 2014, new rules mean that all nationals who come to the UK (including those returning after a period abroad of more than 52 weeks) and who are not working or actively seeking work will need to be living in the UK for three months before they are entitled to Child Benefit or Child Tax Credit.

From 10 November 2014, many EEA nationals who arrive and subsequently become jobseekers are only able to claim JSA for a maximum period of 3 months (91 days).

14.2 Policy changes introduced from 1 July 2015 to 1 July 2016

- Income tax personal allowance raised to £11,000 in 2016/17.
- Higher rate income tax threshold raised to £43,000 in 2016/17.
- 4-year freeze on working age benefits, tax credits and Local Housing Allowances from 2016/17.
- Lower income tax bracket increased to £32,000 in 2016/17.

14.3 Policy changes announced since 1 July 2016

A large range of policies have been announced since 1 July 2015 including:

- Income tax personal allowance to be raised to £11,500 from 2017/18.
- Higher rate income tax threshold to be raised to £45,000 from 2017/18.
- From September 2017, working families with 3 and 4 year olds will receive 30 hours of free childcare, if they meet certain income conditions – this is an increase from the 15 hours they're currently offered (England only)
- The period for which Housing Benefit can remain in payment where there is an absence from GB reduced in general from 13 to 4 weeks from 28 July 2016.
- Reduction in Benefit Cap rates to £385 per week (couples and families with children) and £258 per week (singles), plus separate London rates of £442 (couples and families with children) and £296 per week (singles) from 2017/18.
- Support for Mortgage Interest (SMI): The measure changes SMI from a benefit to an interest-bearing loan, secured against the mortgaged property, from April 2018.

- The Employment and Support Allowance work-related activity group rate is to be aligned with JSA for new claims (from April 2017). The ESA work-related activity group is for claimants who the DWP consider will be capable of work at some time in the future and who are capable of taking steps towards moving into work (work-related activities) immediately.
- From April 2019, the eligible rent used for calculating HB for new tenants living in the social rented sector will be limited to the comparable LHA rate applied to claimants in the private rented sector.
- Universal Credit incorporates support for housing costs, replacing the need for Housing Benefit and combines six means tested benefits, for claimants of working age. Universal Credit is being rolled out for all claimant types and roll out will complete nationally for all new claims by the end of September 2018.

ANNEX

DEFINITION OF SOCIAL SECURITY CONTRIBUTIONS AND PAYROLL TAXES.

The following text has been adapted from Annex A of the OECD *Revenue Statistics*.

Social security contributions to general government

Classified here are all compulsory payments that confer an entitlement to receive a (contingent) future social benefit. Such payments are usually earmarked to finance social benefits and are often paid to institutions of general government that provide such benefits. However, such earmarking is not part of the definition of social security contributions and is not required for a tax to be classified here. However, conferment of an entitlement is required for a tax to be classified under this heading. So, levies on income or payroll that are earmarked for social security funds but do not confer an entitlement to benefit are excluded from this heading and shown under personal income taxes or taxes on payroll and workforce. Taxes on other bases, such as goods and services, which are earmarked for social security benefits are not shown here [...] because they generally confer no entitlement to social security benefits.

Contributions for the following types of social security benefits would, *inter alia*, be included: unemployment insurance benefits and supplements, accident, injury and sickness benefits, old-age, disability and survivors' pensions, family allowances, reimbursements for medical and hospital expenses or provision of hospital or medical services. Contributions may be levied on both employees and employers.

Social security contributions paid to institutions outside general government

Contributions to social insurance schemes which are not institutions of general government and to other types of insurance schemes, provident funds, pension funds, friendly societies or other saving schemes [are included here if they are compulsory or quasicompulsory (e.g., by virtue of agreement with professional and union organisations)]. Provident funds are arrangements under which the contributions of each employee and of the corresponding employer on his/her behalf are kept in a separate account earning interest and withdrawable under specific circumstances. Pension funds are separately organised schemes negotiated between employees and employers and carry provisions for different contributions and benefits, sometimes more directly tied to salary levels and length of service than under social security schemes.

Payroll taxes

This heading covers taxes paid by employers or employees either as a proportion of payroll or as a fixed amount per person, and which do not confer entitlement to social benefits. Examples of taxes classified here are the United Kingdom national insurance surcharge (introduced in 1977), the Swedish payroll tax (1969-1979), and the Austrian Contribution to the Family Burden Equalisation Fund and Community Tax.